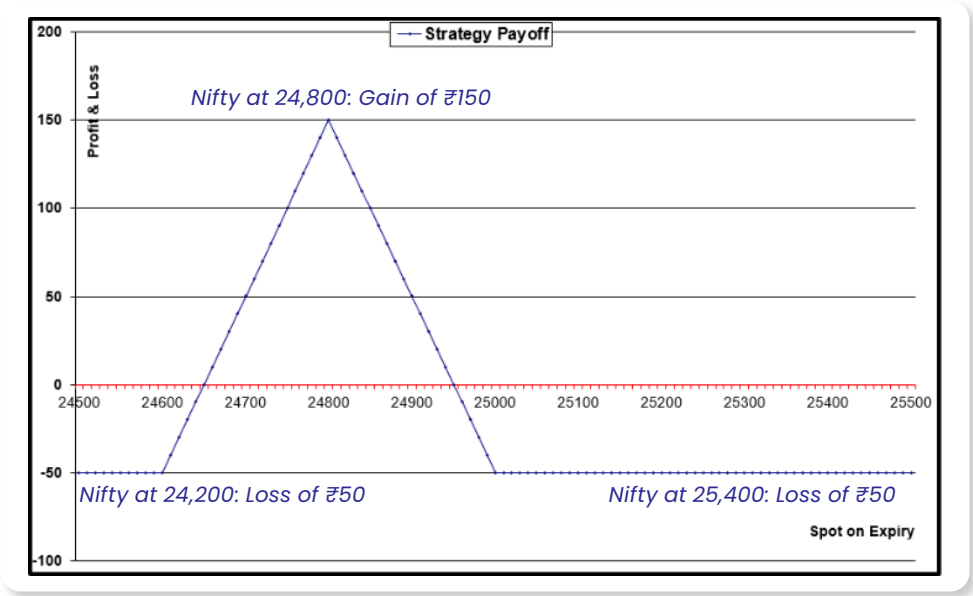


Let us visualise these pay-offs.



5.2 Neutral View Option Strategies

We discussed strategies you can execute for bullish and bearish market views. But what if you have a neutral view? Below are some options trading strategies applicable in this case.

5.2.1 Short straddle

In the short straddle strategy, you will sell a call and a put option for the ATM strike price. This strategy is beneficial when you expect the market to remain range-bound but don't know its direction. It also protects against time decay.

Sell (at ATM Sell Price)

One Call Option
One Put Option

